UNIVERSITY OF CHITTAGONG
Department of Management — BBA 1st Semester

BUSINESS LAW

(Commercial Law)

CHAPTER 11
TERMINATION OR DISCHARGE OF CONTRACTS

Complete Study Notes for the Semester Final Examination
(Law of Contract: Book I)

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How to Use These Notes

These notes cover every topic of Chapter 11 in the same order in which the textbook presents them. The chapter is taken from *Commercial Law (including Company Law) and Industrial Law* by A. K. Sen and J. K. Mitra (revised by Sakti Mukherjee), which discusses the Indian Contract Act, 1872. The same Act, with the same section numbers, is the law of contract in Bangladesh (the Contract Act, 1872), so every section quoted here applies directly to your course.

Every topic is explained in the same six parts so that you can study systematically:

- **Definition and Explanation**: what the rule says, with the section number where there is one.
- **Example**: an illustration, usually from the textbook or from a decided case.
- **Short Story / Scenario**: an everyday business situation (set in Bangladesh) that makes the rule easy to remember. These stories are invented for learning; they are not real court cases.
- **Facts**: key points, section numbers and case names to memorise.
- **Real-Life Use**: where the rule appears in business and daily life.
- **Example of This Specific Issue**: a second, issue-specific illustration or case.

At the end of the chapter you will find a chapter summary, a list of key terms, comparison tables, and likely exam questions with model answers.

Exam tip: In law, always write the **rule** first, then the **section**, then an **example or case**. Answers that follow this order score the highest marks.

Introduction: Meaning and Methods of Termination

Definition and Explanation

When the obligations created by a contract come to an end, the contract is said to be **discharged** or **terminated**. A contract is a bundle of promises. Once those promises have been carried out, cancelled, replaced, or become impossible, the parties are free and nobody can be sued under that contract any more.

A contract does not simply last forever. Law needs to know *when* and *how* a contract ends, because the rights to sue, to claim money and to demand performance all depend on whether the contract is still alive. This chapter answers that question.

The textbook lists seven ways in which a contract may be discharged: (I) by performance of the promise or tender; (II) by mutual consent, that is, cancelling the agreement or substituting a new one; (III) by subsequent impossibility of performance; (IV) by operation of law, that is, death, insolvency or merger; (V) by lapse of time; (VI) by material alteration without the consent of the other party; and (VII) by breach made by one party.

No.	Mode of discharge	Short meaning
I	Performance / tender	Parties do what they promised, or offer to do it
II	Mutual agreement	Parties cancel, change or replace the contract
III	Supervening impossibility	Performance becomes impossible or unlawful after the contract
IV	Operation of law	Death, insolvency, merger
V	Lapse of time	Right to sue is barred by limitation
VI	Material alteration	Written contract altered without consent of other party
VII	Breach	One party fails or refuses to perform

Example

Rahim agrees to sell 100 bags of cement to Karim for Tk. 40,000. Rahim delivers the cement and Karim pays. Both have performed, so the contract is discharged by performance. If instead Rahim and Karim agree to cancel the deal, it is discharged by mutual consent.

Short Story / Scenario

Nusrat runs a small garment shop in Chattogram. During the year she signs many agreements: she buys fabric, hires a tailor, rents a stall and takes a loan. By December some are finished (fabric delivered and paid for), one was cancelled by agreement (the stall), one failed because the tailor left the country, and the loan is still running. Her accountant asks her one question about each: *Is this contract still alive?* The answer depends entirely on the rules of this chapter.

Facts

- The words ‘discharge’ and ‘termination’ are used with the same meaning in this chapter.
- Seven methods: performance, mutual agreement, impossibility, operation of law, lapse of time, material alteration, breach.
- Relevant sections of the Contract Act, 1872: ss. 37, 38 (performance and tender), 56 (impossibility), 62-67 (agreement, rescission, restitution), 73-75 (damages).
- Performance is the **normal and natural** way of ending a contract; all the other methods are exceptions.

Real-Life Use

Banks, insurance companies, builders, suppliers and employers all keep a record of which contracts are ‘open’ and which are ‘closed’. A company cannot sue on a closed contract and cannot be sued on one, so the discharge rules decide who must still pay or deliver.

Example of This Specific Issue

A shipping agent promises to carry goods to Dhaka. If the goods are delivered, the contract ends by performance. If the ship sinks before departure, it may end by impossibility. If the exporter cancels by agreement, it ends by mutual consent. The same business deal can therefore end in different ways, and the legal result differs each time.

I. Termination by Performance (and Tender)

Definition and Explanation

The obligations of a party come to an end when he performs his promise. When **all** the parties have performed their respective obligations, the contract is completely finished. This is the normal and natural mode of discharging a contract. Section 37 of the Contract Act says that the parties must either perform, or offer to perform, their promises.

Tender (offer of performance). A tender is an offer to perform. If a party offers to perform his promise but the other party refuses to accept, the offering party is released from further obligation. The offer of performance has the same effect as performance itself. Section 38 adds that a valid tender must be unconditional, made at the proper time and place, and must give the other party a reasonable chance to see that the thing offered is what was promised. (Section 38 is not reproduced in the textbook extract, but it is the section that supports the textbook's rule.)

Why tender matters. A seller should not remain bound forever just because the buyer will not take delivery. By making a proper tender, the seller protects himself. He is not responsible for the non-performance, and he keeps his right to claim damages from the buyer who refused.

Example

P agrees to deliver 5 tons of sugar to Q on 1 June. On 1 June P brings the sugar to the agreed place, but Q, without any valid reason, refuses to accept it. P has made a valid tender. P is not liable for non-delivery, and Q is the party in breach.

Short Story / Scenario

Salma, a rice wholesaler in Cumilla, promises to deliver 200 sacks to a restaurant owner on Friday morning. On Friday she arrives on time, the rice is of the quality promised, and she unloads at the agreed address. The owner says, ‘I changed my mind, take it back.’ Salma keeps the receipt of her attempt and the driver as a witness. Later she sues for the price. Because she made a proper tender, the court treats her as having done her part.

Facts

- Performance is the most common way of ending a contract; most business deals end this way without any dispute.
- Performance must be exact. The promise must be done as promised, in time, at the place and in the manner agreed.
- A tender must be unconditional (s. 38). A seller who says ‘I will deliver only if you also buy something else’ has not made a valid tender.
- Tender of **money** is subject to special rules; the person offering must bring the exact amount, in lawful money, at the proper time.
- Performance by all parties discharges the contract **completely**; performance by only one party does not.

Real-Life Use

Every shop purchase is a contract discharged by performance. You pay, the shopkeeper hands over the goods, and the contract ends. Courier companies keep delivery attempt records for exactly the reason of tender: if the customer is not at home, the company can show that it offered to perform.

Example of This Specific Issue

Collins contracts with a printing press to print 1,000 invitation cards by 10 May. The press prints and delivers them on 9 May; Collins accepts and pays. The contract is discharged by performance. If Collins had refused the cards without a good reason, the press's offer would still count as a tender.

II. Termination by Mutual Agreement (Overview)

Definition and Explanation

By agreement of all the parties, a contract may be cancelled, its terms may be changed, or a new agreement may be put in its place. Whenever any of these things happens, the old contract is terminated. Section 62 states the rule: *if the parties to a contract agree to substitute a new contract for it, or to rescind or alter it, the original contract need not be performed.*

The idea is simple. A contract is made by agreement, so the same parties can unmake it by agreement. The consent of **all** the parties is needed; one party alone cannot change or cancel a contract.

Termination by mutual agreement may occur in any one of these ways, each of which is explained in the pages below: **Novation, Alteration, Remission, Accord and Satisfaction, Rescission, Waiver and Merger.**

Example

Two businessmen sign a contract for the supply of 500 chairs. Before delivery, they agree to cancel the deal because the buyer's office plan has changed. The old contract is gone; neither can sue the other.

Short Story / Scenario

Tanvir and Mou signed an agreement to hold a wedding photo shoot on 20 December. A cyclone warning arrives, and both decide to cancel. They write a short message ‘We both agree to cancel’ and keep it. No one needs a court; their agreement is enough to end the contract.

Facts

- Source: Section 62, Contract Act, 1872.
- **Consent of all parties** is required; unilateral cancellation is not allowed.
- Seven forms: novation, alteration, remission, accord and satisfaction, rescission, waiver, merger.
- Not every form is a pure 'cancellation'. Novation replaces a contract; alteration changes it; remission reduces it; merger absorbs it.

Real-Life Use

Business contracts are routinely changed by e-mail: delivery dates are postponed, quantities are reduced, prices are renegotiated. Each time, the parties are using the power of mutual agreement.

Example of This Specific Issue

A landlord and tenant agree that the rent will be reduced from Tk. 20,000 to Tk. 15,000 for six months because of a road construction outside the shop. This is a change by mutual consent; the original contract is altered.

II (a) Novation

Definition and Explanation

Novation occurs when a **new contract is substituted for an existing contract**, either between the same parties or between different parties. The definition was given by Lord Selborne in the House of Lords case *Scarf v. Jardine* (1882). Anson, the famous author of the Law of Contract, says that novation can take place only by agreement of the parties; *'novation cannot be compulsory.'*

Novation can happen in two ways: **(i) by a change of parties** (a new person replaces an old one) and **(ii) by substitution of a new contract** in place of the old one between the same parties. In both cases the old contract disappears and the new contract takes its place. The creditor must agree to a new debtor; a debtor cannot simply shift his debt to someone else without consent.

Example

(i) A owes B Tk. 1,000 and B owes C Tk. 1,000. By mutual agreement, B's debt to C and A's debt to B are cancelled, and C accepts A as his debtor. There is novation.

(ii) On the amalgamation of two companies into a new company, the creditors of the old companies can enforce their claims against the new company, which is substituted for the old ones.

(iii) A owes B Rs. 1,000 and B owes C Rs. 1,000. B orders A to credit C in the books, but C does not agree. B still owes C; there is no novation because C never assented.

(iv) P lent D Rs. 2,000. Later D agreed to repay Rs. 1,000 plus some ornaments on a certain date. The earlier agreement is replaced by the later one: novation.

Short Story / Scenario

Mr. Ali owes Tk. 50,000 to a furniture seller, Habib. Mr. Ali sells his business to Mr. Jamal, and all three meet. Habib says, 'I accept Mr. Jamal as my debtor and release Mr. Ali.' Mr. Ali walks away free. If Habib had said nothing, Mr. Ali would still have been liable. The consent of the creditor makes the difference.

Facts

- Basis: Section 62, Contract Act, 1872.
- Leading case: *Scarf v. Jardine* (1882) 7 App. Cases 345.
- Two types: change of parties, or change of the contract itself.
- All parties, including the **creditor**, must consent. A debtor alone cannot transfer his liability.
- Difference from alteration: novation may change the parties; alteration changes only the terms.

Real-Life Use

When a bank takes over another bank, customers' deposits and loans move to the new bank. When one mobile operator merges with another, the customers' service agreements are substituted. In Bangladesh, the merger of Robi and Airtel Bangladesh in 2016 is a well-known commercial example of the kind of arrangement in which contracts are carried over to one company. Mortgage transfers and hire-purchase takeovers use the same idea.

Example of This Specific Issue

The textbook's example of company amalgamation is the best exam example: creditors of the old companies sue the new company, because the new company has been put in the old companies' place by the agreement.

II (b) Alteration

Definition and Explanation

Alteration means a **change in one or more of the terms** of a contract. It is valid if it is made with the consent of **all** the parties to the contract. In alteration the terms change but the parties stay the same. In novation, by contrast, the parties may change.

Do not confuse this with 'material alteration' (Topic VI later in the chapter). There, one party secretly changes the written document; that destroys the contract. Here, all parties openly agree to the change, and the contract survives in its new form.

Example

A agrees to supply 100 sacks of rice to B on 1 April for Tk. 80,000. By mutual agreement they change the date to 15 April. The date term has been altered; the contract continues.

Short Story / Scenario

A fabric importer and a tailor agreed on delivery of 300 metres of cloth in January. In December the importer says the shipment is late and asks for delivery in February. The tailor agrees. Both write the new date down and sign. This is alteration: same people, same contract, new date.

Facts

- Requires the consent of all parties (s. 62).
- Alters the terms, not the parties.
- Unlike novation, no new contract with a new party is created.
- Alteration without consent (secret change of a written document) is a different matter and discharges the contract: see Topic VI.

Real-Life Use

Variation clauses and amendment letters in business contracts are alterations. Employment contracts are altered when salary or job title changes by agreement. Loan rescheduling is also alteration.

Example of This Specific Issue

A supplier and a retailer agree that the supply will be made weekly instead of monthly, with the same price per unit. The quantity term and the time term are altered; the contract goes on.

II (c) Remission

Definition and Explanation

Remission may be defined as the **acceptance of less than what was contracted for**. Section 63 of the Contract Act provides: *'Every promisee may dispense with or remit, wholly or in part, the performance of the promise made to him, or may extend the time for such performance, or may accept instead of it any satisfaction which he thinks fit.'*

A very important point for exams: in India (and Bangladesh) a promisee may remit or give up part of his claim, and a promise to do so is **binding even though there is no consideration** for doing so. This is different from English law, where such a promise needs fresh consideration (see Accord and Satisfaction).

Example

(i) A owes B Rs. 5,000. A pays B Rs. 2,000, and B accepts it in full satisfaction of the whole debt. The old debt is discharged.

(ii) A promises to paint a picture for B. B afterwards forbids him to do so. A is no longer bound.

(iii) A owes B a sum of money whose amount is not yet known. A pays Rs. 2,000 and B accepts it in satisfaction. This discharges the whole debt, whatever its amount.

(iv) H. K. owed Rs. 27 lakhs. A committee managing his estate offered Rs. 20 lakhs in full satisfaction and the creditor accepted. He later sued for the Rs. 7 lakhs balance. The Supreme Court held that Section 63 covered the case and he was not entitled to sue (*Kapur Chand Godha v. Mir Nawab Himayat Ali Khan*, AIR 1963 SC 250).

Short Story / Scenario

Mr. Hasan owes a supplier Tk. 100,000. His shop was damaged by flood. The supplier says, 'Pay me Tk. 70,000 by Sunday and I will close the account.' Mr. Hasan pays Tk. 70,000 on Sunday. The supplier cannot later demand the remaining Tk. 30,000. The supplier has remitted part of the debt.

Facts

- Section 63 gives three powers: remit wholly or partly, extend the time, or accept any other satisfaction.
- No fresh consideration is needed in India/Bangladesh.
- Remission is a unilateral act of the promisee, but once accepted it is binding.
- Leading case: *Kapur Chand Godha v. Mir Nawab Himayat Ali Khan* (AIR 1963 SC 250).

Real-Life Use

Banks sometimes accept a smaller amount in full settlement of a bad loan (a 'one-time settlement'). Suppliers give discounts for early payment. Landlords waive part of the rent in difficult times. All are cases of remission.

Example of This Specific Issue

In the Kapur Chand Godha case a creditor accepted Rs. 20 lakhs against a Rs. 27 lakhs claim. The court held that, once he accepted the smaller amount in satisfaction, he lost the right to sue for the balance.

II (d) Accord and Satisfaction

Definition and Explanation

These two terms are used in **English law**. Under English law, a promise to accept less than what is due under an existing contract is not supported by consideration and is therefore unenforceable. An exception is made where the smaller sum is *actually paid* (or the smaller obligation actually performed) and accepted by the promisee. In such cases the old contract is discharged by 'accord and satisfaction'.

Accord means the promise to accept less than what is due under the old contract. **Satisfaction** means the payment or fulfilment of the smaller obligation. An accord by itself is unenforceable, but an accord *followed by satisfaction* discharges the earlier obligation.

Position in India and Bangladesh. The doctrine of accord and satisfaction is **not applied** in India. Under Section 63, a promisee may dispense with or remit, wholly or in part, the performance of the promise. Therefore, if the promisee agrees to accept Rs. 2,000 in full satisfaction of a claim for Rs. 5,000, the promise is enforceable even before payment.

Example

P owes Q Rs. 5,000. Q agrees to accept Rs. 2,000 in full satisfaction. In English law the promise is unenforceable; but when Rs. 2,000 is actually paid and accepted, there is accord and satisfaction and the original debt is discharged.

Short Story / Scenario

Two friends, Arif (in London) and Bashir (in Dhaka), have a loan of 5,000 pounds. Arif says, 'Give me 2,000 pounds now and we are even.' In England, if Bashir only promises, Arif can still claim the full amount. Once Bashir *pays* the 2,000 pounds and Arif takes it, the debt is over. In Bangladesh, Arif's promise alone would already bind him under Section 63.

Facts

- Terms belong to English law; not applied in India/Bangladesh.
- Accord = promise to accept less. Satisfaction = actual payment/performance of the smaller obligation.
- Accord without satisfaction is unenforceable in England; accord with satisfaction discharges the debt.
- In India, Section 63 makes the promise binding without consideration.

Real-Life Use

International business contracts governed by English law use this doctrine. Debt settlements, insurance claim settlements and out-of-court compromises are often described as 'accord and satisfaction' in legal documents.

Example of This Specific Issue

The textbook's own example: P owes Q Rs. 5,000; Q agrees to accept Rs. 2,000; the sum is paid and accepted; the original debt is discharged.

II (e) Rescission

Definition and Explanation

Rescission means the **cancellation of all or some of the terms of a contract**. A contract may be rescinded in various circumstances: (1) by mutual consent (Section 62); (2) where a party fails to perform his obligation, the other party can rescind without losing his right to compensation for breach; (3) in a voidable contract, one of the parties has the option to rescind it.

How rescission is done. Section 66 of the Contract Act provides that rescission of a voidable contract may be communicated or revoked in the same manner, and subject to the same rules, as apply to the communication or revocation of a proposal. Rescission may be by act of the party; it is not necessary, except in exceptional cases, to file a suit.

Suit for rescission. Section 35 of the Specific Relief Act, 1877 provides that any person interested in a contract in writing may sue to have it rescinded. The court may grant rescission: (a) when the contract is voidable or terminable by the plaintiff; (b) where the contract is unlawful for causes not apparent on its face and the defendant is more to blame than the plaintiff; (c) where a decree for specific performance of a contract of sale or of a lease has been made and the purchaser or lessee fails to pay the money the court ordered.

Consequence. A party who rescinds a voidable contract must give back any benefit he has received (Section 64). A party who rightfully rescinds for the other's breach is entitled to compensation (Section 75).

Example

(i) P promises to deliver goods to Q on a certain date. Before the date, P and Q mutually agree that the contract will not be performed. The parties have rescinded the contract.

(ii) X was induced to enter into an agreement by coercion. He can rescind the agreement.

Short Story / Scenario

Farhana bought a second-hand motorbike after the dealer swore that it had never been in an accident. Two weeks later a mechanic showed her welded frame damage, proof of a serious crash. The dealer had told a lie to get her consent. The contract is voidable. Farhana informs the dealer by notice that she cancels the sale, and returns the bike for her money back. She has rescinded the contract.

Facts

- Mutual rescission: Section 62.
- Rescission of voidable contract: Section 66 (same manner as communication/revocation of a proposal).
- Suit for rescission: Section 35, Specific Relief Act, 1877 (in a written contract).
- A rescinding party must restore benefits received (Section 64).
- Rescission for breach does not take away the right to claim damages.

Real-Life Use

Consumers who return goods bought through misrepresentation, tenants who cancel a lease because of fraud, and buyers who cancel a flat purchase after the developer's false promises are all using rescission.

Example of This Specific Issue

A person induced by coercion into signing a supply agreement is not forced to wait for a court. He can rescind by sending a clear notice to the other party.

II (f) Waiver

Definition and Explanation

Waiver means the **abandonment of a right**. A party to a contract may waive his rights under the contract. Thereupon the other party is released from his obligations to that extent. Waiver is a voluntary act; the person giving up the right must know about it and must clearly intend to give it up.

The principle is close to Section 63 (the promisee may dispense with performance), but waiver is wider because it covers the giving up of any contractual right, not only the right to money or performance.

Example

A hires B to paint his house by 1 March. B is late. A allows B to continue and does not complain. A has waived the right to the exact date and cannot suddenly cancel without giving fresh notice of a new time.

Short Story / Scenario

Mr. Noman rents a flat in Chattogram under a written contract that bans pets. His landlord sees him with a puppy for months and says nothing, even smiling at it. Later, annoyed over another matter, the landlord tries to evict him because of the pet. The tenant argues waiver: the landlord knew and accepted for months.

Facts

- Waiver = voluntary abandonment of a known right.
- Effect: the other party is released from the corresponding obligation.
- May be express (in words) or implied (by conduct).
- Related to remission under Section 63.

Real-Life Use

Banks waive late fees. Employers waive notice periods when an employee resigns. Suppliers waive minor quality defects. These are everyday waivers.

Example of This Specific Issue

A buyer who accepts goods delivered a day late without protest may be taken to have waived the right to insist on delivery on the exact date.

II (g) Merger

Definition and Explanation

When a **superior right and an inferior right coincide and meet in one and the same person**, the inferior right vanishes into the superior right. This is known as merger.

The reason is obvious: a person cannot be his own creditor or his own landlord. When he becomes owner, the lesser right (lease) has no separate existence and the contract that created it comes to an end.

Example

A man holding a property on lease buys the property. His rights as a lessee vanish; they merge into the rights of ownership he has now acquired.

Short Story / Scenario

Mrs. Rokeya rents the ground-floor shop in a building owned by Mr. Alam. After ten years she buys the whole building from him. She now pays rent to nobody. The lease has disappeared because she holds both rights: she is owner and tenant at once, and the larger right swallows the smaller one.

Facts

- Merger discharges a contract by operation of the coincidence of rights.
- It appears twice in this chapter: under mutual agreement (II) and under operation of law (IV).
- The superior right always absorbs the inferior one.
- Textbook example: lessee buys the property.

Real-Life Use

Land registration offices see merger often: a lessee becomes the buyer; a mortgagee becomes owner. Company law also uses the idea when one company absorbs another.

Example of This Specific Issue

A creditor inherits the property of his debtor. Debtor and creditor are now the same person, and the debt ends by merger.

III. Termination by Subsequent or Supervening Impossibility

Definition and Explanation

A contract may become impossible to perform *after* it has been made. The law distinguishes two situations.

Pre-contractual impossibility. A contract which, at the time it was entered into, was impossible to perform is **void ab initio** (void from the beginning) and creates no rights and no obligations. Example: a promise to ride a horse to the sun. (Section 56, first paragraph.)

Post-contractual impossibility. A contract that was capable of being performed when it was made may *afterwards* become impossible or unlawful. In such a case the contract becomes void. This is called the **Doctrine of Supervening Impossibility**, also known as the **Doctrine of Frustration**. Section 56, second paragraph, says: *'A contract to do an act which, after the contract is made, becomes impossible, or, by reason of some event which the promisor could not prevent, unlawful, becomes void when the act becomes*

impossible or unlawful.'

Why the rule exists. It would be unjust to punish a person for failing to do something that nobody could do, especially when the failure was not his fault. The law therefore frees both parties from the contract. The textbook discusses five main grounds (destruction of an object, change of law, failure of pre-conditions, death or incapacity for personal service, and outbreak of war), followed by four exceptions that do **not** amount to impossibility.

Example

A agrees to sell B a specific car. Before delivery, the car is destroyed by a flood through no fault of A. The contract is void. A need not deliver; B need not pay.

Short Story / Scenario

Sumon agreed in January to supply 5,000 bricks from his own kiln in Sylhet for a client's building in June. In May the kiln collapsed in a landslide and nothing could be baked. Nobody was careless. Sumon is not sued for non-delivery; the client is also free to buy bricks elsewhere. The law treats the contract as ended on the day the kiln was destroyed.

Facts

- Section 56, para 1: agreement to do an impossible act is void.
- Section 56, para 2: a contract which later becomes impossible or unlawful (through an event the promisor could not prevent) becomes void.
- Section 56, para 3: a promisor who knew (or with reasonable diligence could have known) of the impossibility must compensate the promisee.
- Section 65: benefits received under a contract that becomes void must be restored.
- 'Impossibility' has a wider meaning than physical impossibility (*Satyabrata Ghose* case).

Real-Life Use

Event organisers, shipping lines, construction firms and exporters all keep 'force majeure' clauses because they know a contract can be frustrated by disasters, wars, new laws or government orders. During COVID-19, many event bookings and travel contracts were discussed in the light of exactly this doctrine.

Example of This Specific Issue

In *Taylor v. Caldwell* (1863), a music hall was hired for concerts but burned down before the first concert. The court held both parties released. This is the leading case on supervening impossibility.

III (a) Ground 1: Destruction of the Subject Matter

Definition and Explanation

Where performance depends on the continued existence of a given person or thing, a condition is **implied** that if that person or thing perishes, performance is excused. In *Taylor v. Caldwell* (1863) Blackburn J. observed that in contracts in which the performance depends on the continued existence of a given person or thing, a condition is implied that impossibility arising from the perishing of the person or thing shall excuse the performance.

The destruction must happen **without the fault** of either party. If one party deliberately or negligently destroys the thing, he cannot escape liability by claiming frustration.

Example

(a) A music hall was let for a series of concerts on certain days. The hall was burnt down before the first concert. The contract became void (*Taylor v. Caldwell*).

(b) A person contracted to deliver 200 tons of potatoes from a particular field. The potatoes were destroyed by a pest through no fault of the party. The contract was discharged (*Howell v. Coupland*, 1876).

(c) There was an agreement between a theatre owner and a producer to exhibit a picture. Municipal authorities ordered the theatre demolished because it was unsafe, which neither party knew. The contract was discharged (*V. L. Narayanan v. P. S. V. Iyer*).

Short Story / Scenario

Mita hires a community hall in Rangpur for her brother's wedding reception on 15 February. On 10 February an electrical fire destroys the hall. Neither Mita nor the hall owner was careless. The contract is frustrated; the owner must return Mita's advance (Section 65), and Mita cannot claim damages.

Facts

- Leading case: *Taylor v. Caldwell* (1863).
- Applies to a specific thing or person, not to goods that can be bought elsewhere.
- Must be without fault of the parties.
- Result: contract void; advance money to be returned under Section 65.

Real-Life Use

Hotel bookings, venue hire, specific-goods sale and crop-supply contracts: each can be frustrated by fire, flood or disease affecting the particular item.

Example of This Specific Issue

The potatoes case, *Howell v. Coupland*, is a farm-based example. The farmer promised potatoes from a particular field; when a disease destroyed that crop, he was excused.

III (b) Ground 2: Change of Law

Definition and Explanation

The performance of a contract may become unlawful by a **subsequent change of law**. In such cases the original contract becomes void, because the law cannot at the same time order a person to do something and forbid it.

The government may also take over the thing for public purposes (requisition), making delivery legally impossible.

Example

(i) M sold to N a specified parcel of wheat in a warehouse. Before delivery, the Government requisitioned the wheat under statutory powers. Delivery being legally impossible, the contract was discharged (*Re Shipton, Anderson & Co.*, 1915).

(ii) X, governed by a personal law allowing more than one wife, already has a wife and promises to marry Y. A new law then prohibits polygamous marriage. The contract to marry becomes void.

Short Story / Scenario

An importer in Chattogram agrees to bring in 10,000 kg of a certain chemical. Before the ship arrives, the government bans the import of that chemical. The contract cannot lawfully be performed. Both parties are freed, and the importer is not liable for non-delivery.

Facts

- Source: Section 56, para 2 (‘unlawful’).
- The change must come after the contract was made.
- Government requisition counts as a legal bar.
- Case: *Re Shipton, Anderson & Co.* (1915) 3 KB 676.

Real-Life Use

New import bans, export restrictions, licensing rules, tax laws and zoning changes frequently affect running contracts; traders watch government notifications for this reason.

Example of This Specific Issue

In the Shipton case the wheat was requisitioned. The seller could not lawfully hand it to the buyer, so the contract was discharged.

III (c) Ground 3: Failure of Pre-Conditions

Definition and Explanation

When a contract is entered into on the basis of the **continued existence of a certain state of things**, the contract is discharged if that state of things changes. Every agreement presumes a certain background on which it was made. The continued existence of that background is a condition precedent to performance; if it fails, the contract fails.

This is sometimes called the ‘foundation’ or ‘purpose’ ground: even if performance is still physically possible, the reason for the contract has vanished.

Example

(i) A and B agree to marry each other. Before the time fixed for the marriage, A goes mad. The contract becomes void (Illustration (b) to Section 56).

(ii) H hired a room from K for two days to view the coronation procession of King Edward VII. Both knew this was the purpose, though the contract did not mention it. The King fell ill and the procession was cancelled. The contract was discharged and H need not pay the rent (*Krell v. Henry*, 1903).

(iii) A contracts to take cargo for B at a foreign port. A's Government declares war against the country where the port is situated. The contract becomes void when war is declared (Illustration (d) to Section 56).

Short Story / Scenario

Rina books a boat in Cox's Bazar for 3 days to watch an international sailing race, which both she and the boatman know is the purpose. The race is cancelled due to a storm warning. The boatman is still able to row, but the very reason for the hire has gone. Following *Krell v. Henry*, the contract is frustrated.

Facts

- Leading case: *Krell v. Henry* (1903) 2 KB 740.
- The purpose must have been known to **both** parties.
- Shows that impossibility is wider than physical impossibility.
- A contrasting case is *Herne Bay Steamboat Co. v. Hutton* (see Exception 4), where the purpose was only partly defeated.

Real-Life Use

Wedding venues, concert tickets, tour packages and exhibition stalls are all hired for a known purpose. If the event is cancelled by an outside cause, frustration may apply.

Example of This Specific Issue

The coronation case is the textbook illustration of this ground and should appear in every answer on it.

III (d) Ground 4: Death or Incapacity for Personal Service

Definition and Explanation

Where the **personal qualification of a party is the basis of the contract**, the contract is discharged by the death or personal incapacity of that party. A contract for personal skill (an artist, singer, doctor, teacher) cannot be performed by anyone else, so when that person cannot perform, the contract ends.

Example

(i) G contracts to act at a theatre for six months for a sum paid in advance by H. On several occasions G is too ill to act. The contract to act on those occasions becomes void.

(ii) A piano player was prevented from performing by a dangerous illness. The contract was discharged (*Robinson v. Davison*, 1871).

(iii) A seaman was interned owing to war. His contract of service was discharged (*Horlock v. Beal*, 1916).

(iv) A music-hall artist was called up for army service. His contract was discharged (*Morgan v. Manser*, 1948).

Short Story / Scenario

Famous singer Ruhi agrees to perform at a college festival in Dhaka for Tk. 200,000. Three days before the concert she is hospitalised with a serious infection and cannot sing. The festival cannot demand that someone else perform. The contract is discharged and Ruhi must return any advance.

Facts

- Applies only where personal skill or qualification is the basis.
- Death in other contracts does not end them; rights and duties pass to the legal representatives (see Topic IV).
- Cases: *Robinson v. Davison* (1871); *Morgan v. Manser* (1948).
- Temporary illness may only excuse the performances missed (illustration (i)).

Real-Life Use

Employment contracts, coaching, artistic performances, expert consultancy and surgeon appointments.

Example of This Specific Issue

In *Robinson v. Davison*, a pianist could not perform because of illness, and the organiser's claim failed; her contract was discharged.

III (e) Ground 5: Outbreak of War

Definition and Explanation

A contract entered into **during** war with an alien enemy is void ab initio. A contract entered into **before** the war between citizens of countries that later go to war remains **suspended** during the war. When the war ends, the contract revives and may be enforced. These rules were formulated by English courts and apply in India, with two exceptions:

(i) In India there may be a valid contract with an enemy alien during war if the Central Government specifically permits it. (ii) Contracts made before the war are **cancelled** and not merely suspended if they amount to aiding the enemy (*Esposito v. Bowden*, 1857), or if they are of a nature that cannot remain suspended, such as contracts that need continuous performance of mutual duties.

Example

A jute exporter in Chattogram signs a two-year contract with a foreign buyer for monthly shipments. If the two countries go to war, a single shipment could simply wait until peace returns, but a contract needing continuous monthly performance cannot remain suspended; it is cancelled.

Short Story / Scenario

A tea merchant in Sylhet contracted with a buyer in a country that, a month later, became an enemy country in a war. The shipment cannot be sent; trading with the enemy is forbidden. A single delivery contract would be suspended until peace returns; but a contract needing weekly deliveries ends for good.

Facts

- Contract *during* war with an enemy alien: void.
- Contract *before* war: suspended, revives after war (general rule).
- Exceptions: permission of Government; contracts aiding the enemy; contracts that cannot remain suspended.
- Case: *Esposito v. Bowden* (1857) 7 E & B 783.

Real-Life Use

Sanctions regimes and trade embargoes today work in a similar way: contracts with sanctioned countries may be suspended or voided by government order.

Example of This Specific Issue

Illustration (d) to Section 56 (cargo for a foreign port after war is declared) shows how such contracts become void.

III (f) What is NOT Impossibility: Exceptions

Definition and Explanation

Mere hardship does not discharge a contract. The textbook gives four cases that do **not** come within the principle of supervening impossibility.

1. Difficulty of performance. Difficulty does not excuse performance. In *Blackburn Bobbin Co. v. Allen & Sons* (1918), a seller of Finland timber could not get timber after war broke out; the buyer was not concerned with how the seller got his timber, so there was no excuse. In *Tsakiroglou & Co. v. Noblee Thorl* (1962), the Suez Canal closed for five months, but the nuts could still be shipped round the Cape of Good Hope; the House of Lords held there was no frustration.

2. Commercial impossibility. A wholesaler is not excused because a manufacturer has not produced the goods. Increase of wages or raw-material prices, unseasonable weather or low profits do not excuse performance. Parties must be taken to have accepted the risk of such events. In *Davis Contractors Ltd. v. Fareham U.D.C.* (1956), a builder agreed to build 78 houses for a fixed sum of 94,424 pounds in eight months; labour and material shortages stretched it to 22 months and the cost ballooned. The House of Lords held the contract was only more *onerous*, not frustrated.

3. Strikes, lock-outs, civil disturbances and riots. These do not end contracts unless the contract itself says so. A strike of workmen was not enough to excuse a lessee from repairing salt pans (a Bombay High Court decision of 1928). Riots in Algeria did not excuse non-delivery of Algerian goods (*Jacob v. Credit Lyonnais*, 1884).

4. Failure of one of the objects. When a contract has several purposes, failure of one does not terminate it. In *Herne Bay Steamboat Co. v. Hutton* (1903), a boat was hired to see a naval review and to cruise round the fleet. The review was abandoned but the fleet was still assembled, so the contract was not terminated.

Example

A baker agrees to supply 1,000 loaves at a fixed price. Flour prices double. He must still supply the loaves. Higher cost is hardship, not impossibility.

Short Story / Scenario

Imran, a contractor in Gazipur, promised to deliver steel bars for a project at Tk. 70 per kg. A sudden price jump takes the market rate to Tk. 95. He asks the court to cancel the contract as ‘impossible’. The court refuses: steel was still available, only at a higher price. He must deliver or pay damages. (This scenario is based on the Davis Contractors principle.)

Facts

- Four exceptions: difficulty, commercial impossibility, strikes/riots, failure of one of several objects.
- Key cases: *Blackburn Bobbin*, *Tsakiroglou*, *Davis Contractors*, *Herne Bay*.
- A contract that becomes merely **more expensive or more difficult** is not frustrated.
- Parties can add a force majeure clause to cover such events.

Real-Life Use

This rule keeps the market stable. If every price rise freed a party from his promise, nobody could rely on a contract. That is why careful traders add price-variation and force majeure clauses.

Example of This Specific Issue

The Suez Canal case is the best exam illustration: even a five-month closure did not frustrate the contract because another sea route existed.

III (g) Effects of Supervening Impossibility

Definition and Explanation

The textbook lists three consequences:

1. Under Section 56 (para 2), when performance becomes impossible or illegal after the contract is made, the contract **becomes void**.

2. Under Section 65, any person who has received an advantage under a contract that has become void must **restore it or make compensation** for it to the person from whom he received it.

3. Under Section 56 (para 3), where a person promised to do something that he knew, or with reasonable diligence might have known, was impossible or unlawful, and the promisee did not know, the promisor must **compensate the promisee for any loss** caused by non-performance.

Example

P contracts to marry B while already married to C and forbidden by his law to practise polygamy. P must compensate B for the loss caused by non-performance of his promise (illustration to Section 56).

Short Story / Scenario

A tour operator takes Tk. 30,000 in advance from a customer for a trip. A government order bans all travel to the destination. The contract becomes void. The operator must return the advance (Section 65). If, however, the operator already knew about the ban when selling the tour, he must also pay compensation for the customer's losses (Section 56, para 3).

Facts

- Three consequences: void, restoration of benefits, compensation if promisor knew.
- Sections: 56 (paras 2 and 3) and 65.
- A party who is innocent of the impossibility only restores benefits; a party who concealed it pays compensation.

Real-Life Use

Refund and cancellation policies of airlines, hotels and e-commerce sites follow the idea in Section 65.

Example of This Specific Issue

Illustration of Section 56: P promises to marry B though bound by law not to. B can recover compensation for loss.

The Doctrine of Frustration

Definition and Explanation

Definition. When the common object of a contract can no longer be carried out, the court may declare the contract to be at an end. This is the Doctrine of Frustration. Anson says that most legal systems make provision for the discharge of a contract where, after its formation, a change of circumstances makes it legally or physically impossible to perform.

English Law: history. Before 1863, a contract (except an illegal one) was enforced literally; every party had an absolute obligation to perform it. In a very old case, *Paradine v. Jane* (1647), a tenant had to pay rent even though a German prince had seized the land and the tenant could not use it. The doctrine of frustration emerged after 1863 through decisions beginning with *Taylor v. Caldwell*.

In later cases, English courts accepted frustration in five situations: destruction of the object, change of law, failure of pre-conditions, death or personal incapacity, and outbreak of war (see Topics III(a) to III(e)).

Theories on which the doctrine is based. (1) *The implied term theory*: every contract contains an implied term that a particular thing or state of things will continue to exist (*Krell v. Henry*). (2) *Disappearance of the foundation of the contract*: if the subject matter is destroyed without fault, the contract ends (*Taylor v. Caldwell*). (3) *The just and reasonable solution*: in *British Movietonews Ltd. v. London & District Cinemas Ltd.* (1952) the House of Lords based the doctrine on interpretation of the contract. (4) *Change in the obligation*: Lord Radcliffe said frustration occurs whenever the law recognises that, without default of either party, a contractual obligation has become incapable of being performed because the circumstances would make it a thing radically different from what was undertaken (*Davis Contractors*).

Limits. (a) If the frustration is *self-induced* (for example, by a party's negligence), the contract is not frustrated. (b) The event must defeat the *common* intention of both parties; there cannot be frustration on one side only (*Blackburn Bobbin*).

Effects in English law. (a) The contract terminates automatically and immediately; it is void, not merely voidable. (b) All future obligations are discharged. (c) Some relief is given by the Law Reform (Frustrated Contracts) Act, 1943.

> **Example**
>
> English merchants contracted to sell machinery to Polish buyers. Before delivery was due, Germany occupied Poland. The contract was discharged by frustration (*Fibrosa v. Fairbairn*, 1943).

> **Short Story / Scenario**
>
> Rafi, a Bangladeshi garment exporter, signs a contract in January to ship 20,000 shirts to a European buyer by April. In March, the government of the buyer's country closes its ports to all imports by law. Rafi's factory made the goods, but they can be neither lawfully landed nor sold there. Both parties' common purpose has failed without their fault. A court would likely hold the contract frustrated.

Facts

- The doctrine is judge-made in English law, beginning with *Taylor v. Caldwell* (1863).
- Earlier rule: *Paradine v. Jane* (1647), which insisted on absolute performance.
- Four theories: implied term, foundation of contract, just and reasonable solution, radical change in obligation.
- Two limits: no self-induced frustration; frustration must affect both sides.
- Statute: Law Reform (Frustrated Contracts) Act, 1943 (England).
- In India/Bangladesh the doctrine is part of Section 56.

Real-Life Use

Today, every major commercial contract contains a force majeure clause listing events such as war, pandemic, strike, fire and government action to avoid litigation about frustration.

Example of This Specific Issue

Fibrosa v. Fairbairn (1943), in which a sale of machinery to Poland collapsed on the German occupation, is the textbook example of frustration and its effects.

Frustration under Indian (and Bangladeshi) Law

Definition and Explanation

In *Satyabrata Ghose v. Mugneeram Bangur & Co.* (1954), the Supreme Court of India reviewed the English cases and concluded that the doctrine of frustration comes into play when a contract becomes **impossible of performance after it is made, on account of circumstances beyond the control of the parties**. It falls within Section 56 of the Contract Act.

The Court said that the word ‘impossible’ in Section 56 is not used in the sense of physical or literal impossibility. An act may not be literally impossible but may be impracticable and useless from the point of view of the object and purpose the parties had in view. If an untoward event or change of circumstances totally upsets the very foundation on which the parties rested their bargain, it can be said that the promisor finds it impossible to do the act he promised.

Important point. Unlike English law, where the doctrine developed by court decisions, in India it is a **statutory rule** (Section 56), and the courts have no power to apply a different rule on the plea of ‘just and reasonable solution’.

Example

(i) An agreement for sale of land was made on the condition that the seller would do some development work on it. Before the work could be completed, the land was requisitioned by the Government for war purposes. The Supreme Court held that the contract was **not frustrated**, because the delay did not defeat the object of the contract (*Satyabrata Ghose*).

(ii) A contract for the sale of goods relating to the Nizam's jewellery trust required delivery upon payment. The courts restrained the sale by an injunction. The contract of sale was deemed frustrated (*Shanti Vijay & Co. v. Princess Fatima Fouzia*, AIR 1980 SC 17).

Short Story / Scenario

Two partners in Narayanganj agree to buy a plot, and the seller promises to fill the land within a year. The government acquires part of the land for a road a few months later. The buyers want to cancel. Following *Satyabrata Ghose*, the court asks: did the acquisition destroy the whole foundation of the deal? If delay is the only problem, the contract survives.

Facts

- Leading case: *Satyabrata Ghose v. Mugneeram Bangur & Co.* (1954) SCR 310 / AIR 1954 SC 44.
- Section 56 governs frustration in India and Bangladesh.
- 'Impossible' includes impracticable and useless in relation to the object of the contract.
- Not every delay or inconvenience frustrates a contract.

Real-Life Use

Businesses use this case to argue that major disasters, new laws or government orders have defeated the purpose of their contracts.

Example of This Specific Issue

Satyabrata Ghose (land requisitioned, but contract not frustrated) and *Shanti Vijay* (injunction stopped the sale, so the contract was frustrated) are the two examples to quote.

IV. Termination by Operation of Law

Definition and Explanation

A contract terminates by operation of law in cases of **death, insolvency and merger**.

Death. In contracts involving personal skill or ability, death terminates the contract. In other contracts, the rights and liabilities pass on to the legal representatives of the deceased.

Insolvency. On the insolvency of a party, his rights and liabilities are, with certain exceptions, transferred to an officer of the court, known as the *Official Assignee* in Calcutta and other presidency towns and as the *Official Receiver* in other areas (as stated in the textbook). In Bangladesh, an equivalent court-appointed receiver handles the property of an insolvent under the insolvency laws.

Merger. See Topic II(g): the lesser right is absorbed by the larger one.

Example

A contracts to paint a portrait for B. A dies. The contract ends because only A could have painted it. But if A had contracted to supply 100 bags of rice and died, his heirs must supply the rice from his estate.

Short Story / Scenario

Mr. Saleh, a timber merchant, signs many supply contracts, and then dies suddenly. His son Faisal inherits the business. Contracts that required Mr. Saleh's personal skill in selecting timber may end; but ordinary supply contracts continue, and Faisal must perform them out of the estate.

Facts

- Three events: death, insolvency, merger.
- Death ends only contracts based on personal skill or ability.
- Insolvency passes the property to an officer of the court.
- These are results brought about by law and not by the parties' agreement.

Real-Life Use

Law firms, banks and executors look at this rule whenever a business owner dies or is declared bankrupt.

Example of This Specific Issue

An artist's death terminates a commission, while a landlord's death does not terminate a tenancy: the heirs step into his place.

V. Termination by Lapse of Time

Definition and Explanation

Contracts may be terminated by lapse of time. In civil suits, the obligations and liabilities in contracts are **barred by limitation**. The provisions are contained in the Limitation Acts. Once the period has expired, the creditor can no longer go to court to enforce his claim, so the contract is practically dead.

The law of limitation exists to encourage promptness and to protect people from old claims whose evidence has been lost. In Bangladesh the Limitation Act, 1908 fixes time limits, for example three years for many money claims.

Example

A lends B Tk. 10,000 and does nothing for many years. After the limitation period ends, he cannot bring a suit for recovery.

Short Story / Scenario

Mr. Kabir sold goods on credit to a shop-owner in 2015 and never asked for the money. In 2025 he files a suit. The shop-owner pleads limitation. The court dismisses the case because the claim is time-barred.

Facts

- Source: the Limitation Acts (not the Contract Act).
- Lapse of time bars the **remedy**, not necessarily the debt itself.
- In Bangladesh, the Limitation Act, 1908 is the relevant law.
- A fresh acknowledgment in writing or a part-payment can renew the period.

Real-Life Use

Banks and companies record due dates for every loan and invoice and send notices before the claim is time-barred.

Example of This Specific Issue

A promissory note unclaimed for more than the limitation period becomes unenforceable in court.

VI. Termination by Material Alteration

Definition and Explanation

If the document containing the terms of a contract is **materially altered by one party without the consent of the other parties**, the contract is discharged and can no longer be enforced. A ‘material alteration’ means a change that affects or alters, in a significant manner, the rights and liabilities of the parties.

Examples of material changes: a change in the amount of money to be paid, the time of payment, the place of payment, or the names of the parties. These involve tampering with the document in which the terms were written. A tampered document is not admissible in evidence, and the contract recorded in it naturally becomes unenforceable.

If an alteration (by erasure, interlineation or otherwise) is made in a material part of a deed after its execution, without the consent of the party or parties liable under it, the deed is rendered **void from the time of the alteration** (*Loonkaran Sethia v. Ivan E. John*, AIR 1977 SC 336).

Non-material alterations. An alteration that does not affect the rights and liabilities of the parties, or is made to carry out the common intention of the parties, has no effect on the validity of the contract. Examples: correcting a clerical error in figures, or the spelling of a name.

Example

A signs a document promising to pay B Tk. 10,000. B secretly changes the figure to Tk. 100,000. The document is materially altered; B cannot enforce it, even for the original Tk. 10,000.

Short Story / Scenario

Tuhin signed a loan paper for Tk. 50,000 with a moneylender. Later he discovers that the lender added a zero, making it Tk. 500,000, and changed the repayment date. Because of the material alteration, the document is not enforceable against Tuhin, and the lender loses his rights under it.

Facts

- Alteration must be **material** and **without consent** to discharge the contract.
- Material: amount, time, place, parties' names.
- Non-material: spelling or clerical corrections.
- Case: *Loonkaran Sethia v. Ivan E. John* (AIR 1977 SC 336).
- Do not confuse with alteration by mutual consent (Topic II(b)).

Real-Life Use

Cheque tampering, forged contract pages and edited invoices are all cases of material alteration. Banks reject cheques with unauthorised alterations for this reason.

Example of This Specific Issue

A cheque for Tk. 5,000 is altered to read Tk. 50,000. This is a material alteration, and the cheque is void (the textbook points to the Negotiable Instruments chapter).

VII. Termination by Breach of Contract

Definition and Explanation

When a contract is broken by one party, the other party or parties are **freed from the obligation of performing** the contract. They can also take the remedial measures to which they are entitled. Breach is therefore both a way of ending a contract and the starting point of legal remedies.

Breach of contract may arise in two ways: **(i) by anticipatory breach** (before the time for performance has come) and **(ii) by actual breach** (at or during the time of performance).

Section 39 of the Contract Act supports this rule: when a party to a contract has refused to perform, or disabled himself from performing, his promise in its entirety, the promisee may put an end to the contract, unless he has signalled by words or conduct his acquiescence in its continuance.

Example

C agrees to supply 1,000 bags of cement to B on 1 June. C does not deliver. B is released from the duty to pay and may claim compensation.

Short Story / Scenario

Sharmin hired a caterer for her sister's engagement ceremony. On the morning of the event, the caterer's van never arrived and he did not answer calls. Sharmin hurriedly ordered food elsewhere. She owes the caterer nothing. She can claim from him the extra money she had to spend. His failure ended the contract and gave her remedies.

Facts

- Two kinds: anticipatory breach and actual breach.
- Breach releases the innocent party from his own duties.
- The innocent party has five remedies: rescission, damages, quantum meruit, specific performance, injunction.
- Section 39 (refusal to perform wholly) and Section 75 (compensation to party rightfully rescinding).

Real-Life Use

Late delivery, defective goods, non-payment of invoices, abandoned construction projects and unpaid salaries are daily examples of breach.

Example of This Specific Issue

In *Cort v. Ambergate Railway Co.* (1851), a railway company that had ordered 3,900 tons of railway chairs told the supplier after 1,787 tons that it needed no more. This was a breach by the company.

VII (a) Anticipatory Breach of Contract

Definition and Explanation

Anticipatory breach occurs when a party **repudiates his liability before the time for performance is due**, or when by his own act he **disables himself** from performing the contract.

Consequences. The aggrieved party can: (i) treat the contract as discharged, so that he is no longer bound by his obligations; and (ii) immediately use the legal remedies, that is, sue for damages, specific performance or an injunction.

Important rule. Anticipatory breach does not by itself discharge the contract. It is discharged *only when the aggrieved party chooses to treat it as discharged*, that is, accepts the repudiation. If he does not accept it, the contract continues and the other party may still perform if possible. But if the repudiation is not accepted and later an event legally discharges the contract (for example, a supervening impossibility), the aggrieved party loses his right to sue for damages.

Example

(i) C contracts to supply B with articles on 1 June. Before 1 June he informs B that he cannot supply.

(ii) W agrees to sing at L's theatre from a certain date. Before that date she signs a long contract with another theatre (this disables her).

(iii) X agrees to marry Y. Before the agreed date he marries Z.

(iv) D agrees to employ H as a courier from 1 June. On 1 May he says H's services will not be needed. On 11 May H sues. He is entitled to sue even before the performance date (*Hochster v. De La Tour*, 1853).

Short Story / Scenario

Mr. Anwar agreed to buy 50 sewing machines from a dealer on 1 October. On 5 September, he tells the dealer, ‘Do not bring them, I have cancelled my factory plan.’ The dealer need not wait until 1 October. He may treat the contract as ended and sue at once for his loss. If he decides to wait and see, he may do so, but he takes the risk that something may happen that cancels the contract.

Facts

- Leading cases: *Hochster v. De La Tour* (1853); *Frost v. Knight* (1872); *Avery v. Bowden* (1855/56).
- Two forms: express repudiation, or disabling oneself.
- The aggrieved party has a **choice**: accept the repudiation or wait.
- If he waits and the contract is later frustrated, he loses the right to damages.

Real-Life Use

Suppliers, exporters and builders face this when the other side cancels in advance. Quick action allows the innocent party to find other buyers and limit his loss.

Example of This Specific Issue

Avery v. Bowden: X agreed to load wheat on R's ship at Odessa. R refused, but X did not accept the refusal and kept demanding a cargo. Before the last loading date the Crimean War broke out and made performance illegal. The contract was discharged and X could not sue for damages. *Frost v. Knight*: a man promised to marry the plaintiff on his father's death but renounced during his father's life; she could sue without waiting.

VII (b) Actual Breach of Contract

Definition and Explanation

Actual breach occurs when, **during the performance of the contract, or at the time performance is due**, one party fails or refuses to perform his obligations.

The refusal may be **express** (by words or writing) or **implied** (by conduct, by non-action, or by abstaining from doing something).

Example

(i) D agrees to deliver to B 5 tons of sugar on 1 June. He fails to do so on 1 June. There is breach by D.

(ii) P agrees to deliver 5 tons of sugar to Q on 1 June. On 1 June he tenders the sugar, but Q, for no valid reason, refuses delivery. There is breach by Q.

(iii) C agreed to supply a railway company with 3,900 tons of railway chairs. After 1,787 tons had been delivered, the company said no more would be required. This is a breach by the company (*Cort v. Ambergate Railway Co.*).

Short Story / Scenario

A tailor promises Eid dresses to a customer by 25 Ramadan. On 25 Ramadan he says, ‘I have not even started.’ That is an actual breach. If he had simply never shown up, the breach would be implied from his conduct.

Facts

- Breach can be by the seller, the buyer, the employer, the employee, and so on.
- Express breach: clear words. Implied breach: conduct.
- Breach by a buyer who refuses a proper tender is also a breach.
- Remedies follow at once.

Real-Life Use

Courts see actual breach cases in sale of goods, building contracts, employment and loan repayment disputes.

Example of This Specific Issue

The sugar example (i) and (ii) shows that breach may come from either the seller or the buyer.

Remedies for Breach of Contract (Overview)

Definition and Explanation

When a breach occurs, the aggrieved party becomes entitled to the following reliefs:

1. Rescission of the contract. He is freed from all his obligations. If C does not deliver sugar on the appointed day, B need not pay the price. Where A contracts to repair B's house and B refuses to show where repair is needed, A is excused (Illustration to Section 67).

2. Suit for damages. He can claim compensation for loss caused by the breach.

3. Suit upon quantum meruit. If the contract was partly performed, he may sue for the price of work already done.

4. Specific performance. In special cases the court may order the party to perform the contract as agreed.

5. Injunction. The court may order a party to stop doing something that would breach the contract.

Example

A builder abandons a half-built house. The owner may (i) cancel, (ii) claim damages, and (iii) in a suitable case ask the court to order completion or stop the builder from working for others.

Short Story / Scenario

Zahid ordered a custom-made sofa from a furniture maker. The maker delivered a damaged sofa and refuses to replace it. Zahid can cancel the order and refuse to pay, claim damages for the extra cost of buying another, or in some cases ask the court to compel replacement. He chooses according to what suits him best.

Facts

- Five remedies: rescission, damages, quantum meruit, specific performance, injunction.
- More than one remedy can sometimes be claimed together.
- Damages are the most common remedy.
- Specific performance and injunction are **discretionary**.

Real-Life Use

Contract drafting always includes a remedies clause because parties know that choice of remedy affects cost and time.

Example of This Specific Issue

Illustration to Section 67: where the promisee neglects to give the promisor the facility needed to perform, the promisor is excused.

Damages: Types of Damages

Definition and Explanation

When a contract is broken, the injured party can claim **damages** (money compensation) from the other party. Damages allowed by courts may be of the following types:

Compensatory (ordinary) damages are calculated so as to make up the loss suffered by the party.

Special damages cover loss that does not arise in the ordinary course but was within the contemplation of both parties when they made the contract (see the rules below).

Nominal or contemptuous damages are a paltry sum awarded when the court finds that the party has not suffered much actual loss or that the breach was too petty.

Exemplary, punitive or vindictive damages exceed the actual loss and are meant as punishment. They are unusual. In English courts they are usually given in cases of breach of promise of marriage and against bankers who wrongly dishonour a trader's cheque despite sufficient funds (*Addis v. Gramophone Co.*, 1909).

Type	Purpose	When awarded
Compensatory (ordinary)	Make up actual loss	Most breach cases
Special	Cover loss both parties foresaw	When special circumstances known at contract
Nominal / contemptuous	Mark that a right was infringed	Breach with little or no loss
Exemplary / punitive	Punish the wrongdoer	Rare; marriage promise, cheque dishonour

Example

A scurrilous libel was published by an author and publisher against a distinguished naval officer. He sued and was awarded 15,000 pounds as compensatory damages and 25,000 pounds as exemplary damages (*Broome v. Cassell & Co.*, 1971). (This is a tort case, cited in the textbook to show how exemplary damages work.)

Short Story / Scenario

Rina's neighbour promised to pay a Tk. 100 fee for a minor service and forgot to pay it. Rina suffered no real harm. If she sues, the court may give her only a very small sum, such as Tk. 1, as nominal damages, just to record that the contract was broken.

Facts

- Four types: compensatory, special, nominal (contemptuous), exemplary (punitive).
- In contract law the aim is compensation, **not punishment**.
- Exemplary damages are rare in contract (breach of promise of marriage, dishonour of cheque).
- Sections 73 to 75 of the Contract Act govern the amount.

Real-Life Use

Courts use damages in commercial cases to put the injured party in the position he would have been in had the contract been properly performed.

Example of This Specific Issue

In *Addis v. Gramophone Co.* (1909), the House of Lords laid down that damages for breach of contract are generally not given for injury to feelings or by way of punishment.

Rules for Determining the Amount of Damages (Sections 73-75)

Definition and Explanation

Section 73 (para 1) states the principle: *'When a contract has been broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage caused to him thereby, which naturally arose in the usual course of things from such breach, or which the parties knew, when they made the contract, to be likely to result from the breach of it.'*

The following eight rules are drawn from the Act and the cases:

1. Actual loss. The aggrieved party is ordinarily entitled to recover only the loss actually suffered.

2. Natural and usual loss. Only loss that arises naturally and in the usual course of things from the breach is allowed. Damages for *remote* consequences are usually not allowed.

3. Special damages. Remote damages are allowed if they could reasonably be supposed to have been in the contemplation of both parties when they made the contract.

4. Restitution and compensation. The aim is to put the injured party, as far as money can do it, in the same position as if the contract had been performed. Damages are not meant to punish (except for breach of promise of marriage). In sale contracts, damages are usually the difference between the contract price and the market price.

5. Costs. The injured party is entitled to the costs of obtaining the decree.

6. Minimisation of loss (mitigation). The injured party must take all reasonable steps to reduce the loss, and cannot claim for loss that comes from his neglect to do so (*Jamal v. Moola Dawood Sons & Co.*, 1916).

7. Effect of a penalty clause. If a sum is named as payable on breach, or the contract has a stipulation by way of penalty, the court allows *reasonable compensation not exceeding the sum named* (Section 74).

8. Difficulty of assessment. The difficulty of calculating damages is no ground for refusing them; the court must make an assessment (*Chaplin v. Hicks*, 1911).

Special damages: textbook illustrations. (i) A tells carrier B that his mill is stopped for want of a machine, but B unreasonably delays delivery and A loses a government contract. A can recover the average profit the mill would have earned in the delay period, but not the loss of the government contract. (ii) P bought poisonous copra cake from L and sold it on to others who fed it to cattle; the cattle died. As feeding cattle was within the contemplation of both, L was liable for the damages P had to pay (*Pinnock Bros. v. Lewis & Peat Ltd.*, 1923).

> **Example**
>
> (i) *Hadley v. Baxendale* (1854): a carrier delayed delivering a broken crankshaft for a mill. The mill-owner claimed wages and depreciation, and lost profits. The first two were allowed; lost profits were disallowed as remote, because the carrier did not know the mill was entirely stopped.
>
> (ii) A contracts to sell 50 maunds of saltpetre to B, and breaks his promise. B can claim the amount by which the contract price falls short of the price at which he could buy the same quantity at the time of delivery (Illustration (a) to Section 73).
>
> (iii) A promises to pay B a sum of money on a certain day and does not. B is ruined as a result. A is liable only for the principal sum plus interest up to the day of payment (Illustration (j) to Section 73).

(iv) A hires B's ship to go to Bombay but the ship does not go. A finds another vessel on equally good terms, at some trouble and expense. A can recover compensation for that trouble and expense (Illustration (b) to Section 73).

Short Story / Scenario

Kamal ordered 500 school uniforms from a tailor for Tk. 300 each, to be delivered on 1 January. The tailor fails. Kamal buys 500 similar uniforms elsewhere at Tk. 350 each. Kamal's direct loss is Tk. 50 x 500 = Tk. 25,000, which he can claim. He cannot claim the school's decision to cancel the annual prize-giving unless the tailor knew about it when the contract was made.

Facts

- Sections 73, 74, 75 of the Contract Act.
- Remoteness: *Hadley v. Baxendale* (1854) 9 Ex. 341.
- Mitigation: *Jamal v. Moola Dawood*; *Neki v. Pirbhu* (plaintiff who sat idle 8 months despite other shops being available recovered only his advance).
- Difficulty of assessment: *Chaplin v. Hicks* (1911) (beauty contest case).
- Illustrations (a), (b), (i), (j) to Section 73 are favourite exam examples.

Real-Life Use

Insurance claims, construction disputes, supply-chain delays and employment cases use these rules to calculate what each party must pay.

Example of This Specific Issue

In *Chaplin v. Hicks*, Miss Chaplin was one of 50 finalists in a beauty competition whose winners would get theatrical jobs. Her breach-prevented attendance cost her a chance. Even though it was hard to measure, she received damages: difficulty is not a ground to refuse.

Liquidated Damages and Penalty

Definition and Explanation

Sometimes a contract names a sum of money payable in case of breach. The question is whether the court will accept this figure as the measure of damage.

English law. The sum named is either *liquidated damages* or a *penalty*. It is **liquidated damages** when the amount is a reasonable, genuine pre-estimate of the probable actual loss. It is a **penalty** when it is not based on a reasonable calculation of the loss but is fixed as a punishment or threat. English courts allow the exact amount for liquidated damages, never more or less; penalty clauses are treated as invalid and the court allows only reasonable compensation.

Indian and Bangladeshi law. The distinction between liquidated damages and penalty is **not recognised**. Section 74 provides that if the parties have fixed the damages, the court will never allow more, but it *may allow less*. The court passes a decree only for reasonable compensation **not exceeding the sum named**.

Exception. If a person enters into a bail bond or similar instrument, or gives a bond to the Government for performance of a public duty, he is liable on breach to pay the **whole sum** mentioned. No calculation of actual loss is needed.

Point	English Law	Indian / Bangladeshi Law (s. 74)
Distinction recognised?	Yes: liquidated damages vs penalty	No distinction
Liquidated damages	Exact sum allowed	Reasonable compensation up to the named sum
Penalty	Invalid; only reasonable damages	Reasonable compensation up to the named sum
Court may award more than named sum?	No	Never; may award less
Exception	None as such	Bail bonds, public duty bonds: whole sum

Example

(i) A contracts with B to pay Rs. 1,000 if he fails to pay Rs. 500 on a given day. A fails. B is entitled to such compensation, not exceeding Rs. 1,000, as the court considers reasonable (Illustration (a) to Section 74).

(ii) A borrows Rs. 100 from B and gives a bond for Rs. 200 payable by five yearly instalments of Rs. 40, with the stipulation that on default of any instalment the whole becomes due. This is a stipulation by way of penalty (Illustration (g)).

(iii) Tyre dealers agreed not to resell below list price and to pay 5 pounds on each breach as liquidated damages. The House of Lords held the sum was a pre-estimate of damage, not a penalty (*Dunlop Pneumatic Tyre Co. v. New Garage & Motor Co.*, 1915).

(iv) A dealer agreed to pay 250 pounds for every car sold below list price. The Court of Appeal held it a penalty (*Ford Motor Co. v. Armstrong*, 1915).

Short Story / Scenario

A contractor promises to build a house by 1 June and agrees to pay Tk. 5,000 for each day's delay. The homeowner's real loss is Tk. 4,800 per day, being the rent he must pay elsewhere. The clause is a fair pre-estimate (liquidated damages). If the clause said Tk. 100,000 per day, which has no connection with the real loss, a court would call it a penalty and allow only a reasonable amount.

Facts

- Liquidated damages = genuine pre-estimate; penalty = threat (English law).
- India/Bangladesh: Section 74 covers both; only *reasonable compensation not exceeding the named sum*.
- Exception: bail bonds and public duty bonds (whole sum payable).
- Cases: *Dunlop v. New Garage* (liquidated); *Ford v. Armstrong* (penalty).

Real-Life Use

Late-delivery clauses in construction, supply and software contracts, and fixed forfeiture clauses in property sale agreements, all raise this question.

Example of This Specific Issue

Compare the two tyre and car cases: both fixed a sum per breach, yet one was held fair (Dunlop) and the other a threat (Ford).

Interest as Penalty, and Claiming Interest

Definition and Explanation

Can increased interest be a penalty? A stipulation that increased interest will be paid from the date of default may be treated as a penalty and disallowed by courts. If simple interest is payable and the agreement says that on failure to pay on the due date the debtor will pay *compound* interest, that condition will be considered a penalty.

When can interest be claimed? Interest can be claimed and awarded for any debt or damages. According to the textbook, the earlier rules of the Interest Act of 1839 were replaced by the Interest Act of 1978, and the main conditions under the 1978 Act are: (1) there must be a debt or a sum certain; (2) it must be payable at a certain time or otherwise; (3) payable by virtue of a written contract at a certain time; (4) a written demand must have stated that interest would be claimed from the date of demand; and (5) the rate must not exceed the current rate of interest. The rules do not apply where interest is already payable as of right by agreement, or where interest is barred by an express agreement. The court can award interest upon interest.

Note for your exam: the textbook is an Indian one and refers to the Reserve Bank of India for the ‘current rate’. In Bangladesh the corresponding rate-setting authority is Bangladesh Bank. Follow the textbook's points in the examination hall.

Example

A debtor agrees to pay 10% simple interest on Tk. 100,000 and promises that, if he is late, the interest becomes compound at 18%. A court may treat the extra as a penalty and cut it down.

Short Story / Scenario

Mizan borrows Tk. 200,000 from a friend at a simple rate. The agreement says that if he is a day late, interest is doubled for the whole year. When he is two days late, the friend demands the doubled interest. A court is likely to say the clause is a penalty and award only reasonable compensation.

Facts

- Increased interest on default may be a penalty.
- Simple interest changed to compound on default is a penalty (textbook).
- Interest rules need a debt, a written contract and a written demand.
- The court may award interest on interest.

Real-Life Use

Banks and moneylenders write default-interest clauses; courts review them when a borrower complains of unreasonable charges.

Example of This Specific Issue

The textbook question 14(c): a debtor agrees to pay compound interest on failure to pay simple interest at the due date. The answer is: it is a penalty.

Quantum Meruit

Definition and Explanation

Quantum meruit means *'as much as is merited'* or 'as much as he has earned'. A person can, in certain circumstances, claim payment for work done or goods supplied even without a contract, or where the original contract has ended by breach or become void. This is the **Doctrine of Quantum Meruit**.

The rules are:

1. Where there is a breach of contract, the injured party may claim reasonable compensation for what he has done under the contract.

2. When a contract is discovered to be unenforceable for some technical reason, a person who has done something under it is entitled to reasonable compensation (Section 65).

3. In some cases the law presumes an implied agreement to pay for services or goods supplied without any intention to do so gratuitously, where the other party enjoys the benefit (Section 70).

4. Where a contract is **indivisible** and a lump sum is promised for the entire work, part-performance does not entitle a party to claim quantum meruit.

5. Nothing can be recovered on quantum meruit when there is no express or implied promise to pay for work done.

6. A person who is himself **guilty of breach** cannot claim payment on quantum meruit.

Example

(i) P agreed to write a book to be published in instalments in C's magazine. After a few instalments, the magazine was abandoned. P could claim damages and quantum meruit for the part already published (*Planche v. Colburn*, 1831).

(ii) A plaintiff agreed to build a house but did not finish. The defendant completed it using the materials left on the site. The plaintiff could not recover for the work, but could recover the value of the materials used (*Sumpter v. Hedges*, 1898).

(iii) C was employed as managing director under a written contract which turned out to be void because the directors were unqualified. C had actually worked. He was entitled to remuneration as quantum meruit (*Craven-Ellis v. Canons Ltd.*, 1936).

(iv) A trader leaves goods with B by mistake, not intending a gift. B uses them. B must pay for them (Section 70).

(v) A sailor was engaged for a voyage from Jamaica to Liverpool for a lump sum of 30 guineas. He died when two-thirds of the voyage was complete. His representatives recovered nothing (*Cutter v. Powell*, 1795).

Short Story / Scenario

A website designer is hired to create a 10-page site for Tk. 100,000. After seven pages are finished and delivered, the client cancels without cause. The designer cannot demand the full price for a site never completed, but she can claim reasonable payment for the seven pages that were done, as quantum meruit, and may also claim damages for the breach.

Facts

- Latin: ‘as much as is merited’.
- Sources: Section 65, Section 70 and case law.
- Cases: *Planche v. Colburn*; *Sumpter v. Hedges*; *Craven-Ellis v. Canons*; *Cutter v. Powell*.
- Not available to the **party who broke** the contract.
- Not available for indivisible lump-sum contracts that were not completed.

Real-Life Use

Freelancers, contractors, consultants and builders use quantum meruit to claim fair pay when a project is cancelled halfway. Courts use it when a contract turns out to be invalid but work has already been done.

Example of This Specific Issue

Cutter v. Powell is the standard case for the ‘entire contract’ rule. The sailor's pay was a lump sum for the whole voyage; he died before it ended and nothing was due.

Specific Performance

Definition and Explanation

A person aggrieved by breach can, in certain situations, sue for **specific performance**, that is, for an order of the court directing the party in breach to **perform what he promised**. It is a **discretionary** remedy, given only in a limited number of cases. The rules are contained in the Specific Relief Act, 1877, which still governs this subject in Bangladesh.

When granted. Generally, specific performance is directed where money compensation is **not an adequate remedy**. In contracts for the sale of a particular house or a rare article, money is not enough, because the injured party cannot find an exact substitute in the market.

When not granted. (a) Where monetary compensation is adequate relief. (b) In contracts of a personal nature, such as a contract to marry or to paint a picture. (c) Where the court cannot supervise performance, such as a building contract.

Example

A agrees to sell a specific plot with a unique view to B. A then refuses. B can ask the court to order A to transfer the plot, because no other plot is exactly the same.

Short Story / Scenario

Mr. Hakim agreed to buy a particular antique clock from a collector. Just before the sale, the collector changed his mind because another buyer offered more. Mr. Hakim does not want money; there is only one such clock. He sues for specific performance, and the court may order the collector to hand over the clock for the agreed price.

Facts

- Governing law: Specific Relief Act, 1877.
- Discretionary: the court may refuse.
- Granted for unique property (land, rare goods).
- Not granted for personal service or where supervision is impossible.

Real-Life Use

Land sale agreements are the most common subject of specific performance suits. Company share transfers and unique art or antique contracts also appear.

Example of This Specific Issue

Textbook examples of contracts *not* specifically enforced: a contract to marry, a contract to paint a picture, and a building contract.

Injunction

Definition and Explanation

An injunction is an **order of the court**. In breach of contract cases, the injured party may under certain circumstances obtain a **negative injunction**, that is, an order prohibiting a party from doing something. Injunctions are usually granted to enforce *negative stipulations* (promises not to do something) where damages are not an adequate relief. It is particularly suitable in cases of anticipatory breach.

Link with specific performance. The court may refuse to order a person to perform a personal service, but it may still stop him from working for a rival during the contract period.

Example

(i) G agreed to buy the whole of the electric energy for his house from a certain company. This was read as a promise not to buy from any other company. He was restrained by an injunction from buying electricity elsewhere (*Metropolitan Electric Supply Co. v. Ginder*, 1901).

(ii) N, a film actress, agreed to act exclusively for Warner Bros. for one year. During that year she agreed to act for X. She was restrained by injunction from acting for X (*Warner Bros. v. Nelson*, 1937). A court order directing her to act for Warner Bros. (specific performance) was **not** passed, as the contract was personal and could not be supervised.

Short Story / Scenario

A famous chef signs an exclusive one-year contract with a Dhaka hotel. Halfway through, he plans to join a rival hotel. The first hotel cannot force him to cook, but it may get an injunction stopping him from cooking for the rival during the contract term.

Facts

- Negative injunction: ‘do not do X’.
- Granted to enforce negative covenants where damages are inadequate.
- Cases: *Metropolitan Electric Supply v. Ginder*; *Warner Bros. v. Nelson*.
- Complements specific performance for personal contracts.

Real-Life Use

Exclusive-dealing contracts, celebrity endorsements, employee non-compete clauses and trade-secret protections are enforced this way.

Example of This Specific Issue

Warner Bros. v. Nelson is the key example: the actress could not be forced to act for Warner Bros., but she could be stopped from acting for others.

Restitution of Benefit (Sections 64 and 65)

Definition and Explanation

Section 64. When a person at whose option a contract is voidable rescinds it, he must **restore to the other party any benefit** he received under it. For instance, when a sale of a house is avoided on the ground of undue influence, any money received on account of the price must be refunded.

Section 65. When an agreement is *discovered to be void* or a contract *becomes void*, any person who has received any advantage under it is bound to restore it, or to make compensation for it, to the person from whom he received it.

Scope of Section 65. It applies to contracts ‘discovered to be void’ and contracts which ‘become void’. It does **not** apply to contracts which are *known to be void* from the start. So if A pays Rs. 100 to B to beat C, the money is not recoverable. The expression ‘become void’ is read liberally: where a party rescinds for the other's default, he can claim damages if he suffered any, but must restore any advantage he received (*Muralidhar Chatterjee v. International Film Co.*, AIR 1943 PC 34).

Example

(a) A pays B Rs. 1,000 for B's promise to marry C, A's daughter. C was dead at the time of the promise. The agreement is void, but B must repay A Rs. 1,000.

(b) A, a singer, contracts with B, a theatre manager, to sing two nights a week for two months at Rs. 100 a night. On the sixth night A wilfully absents herself, and B rescinds. B must pay A for the five nights she sang, and can claim damages for the breach.

Short Story / Scenario

A buyer pays Tk. 500,000 as advance for a car shipment. The government bans the import before the car arrives, so the contract becomes void. The seller must return the Tk. 500,000 (Section 65). If the buyer had known of the ban when paying, the matter might be different, since a contract known to be void gives no restitution.

Facts

- Section 64: rescinding party restores benefits (voidable contracts).
- Section 65: restoration where a contract becomes void or is discovered to be void.
- Section 65 does **not** apply to agreements known to be void (the ‘beat C’ example).
- Case: *Muralidhar Chatterjee v. International Film Co.* (AIR 1943 PC 34).

Real-Life Use

Refunds of advance payments, return of security deposits and cancellation of sale agreements all rest on this principle. It prevents ‘unjust enrichment’, where a person keeps a benefit he has no right to keep.

Example of This Specific Issue

The singer and theatre example is the best exam illustration: even a party who breaches must be paid for the performance already given.

Chapter Summary

A contract is **discharged** when the obligations it created come to an end. The seven ways are performance (or tender), mutual agreement, supervening impossibility, operation of law, lapse of time, material alteration and breach.

- **Performance.** The normal way of ending a contract. A valid tender has the same effect as performance (ss. 37, 38).
- **Mutual agreement (s. 62).** Novation (new contract replaces old), alteration (terms changed), remission (acceptance of less, s. 63, no consideration needed), accord and satisfaction (English doctrine, not applied in India/Bangladesh), rescission (cancellation, ss. 62, 66, and Specific Relief Act s. 35), waiver (abandoning a right) and merger (lesser right swallowed by greater).
- **Supervening impossibility (s. 56).** A contract that becomes impossible or unlawful after it is made becomes void. Grounds: destruction of the subject matter, change of law, failure of pre-conditions, death or incapacity for personal service, outbreak of war. Not impossibility: mere difficulty, commercial impossibility, strikes and riots, failure of only one of several objects. Effects: contract void; benefits restored (s. 65); compensation if the promisor knew (s. 56, para 3).
- **Doctrine of Frustration.** English law developed it after *Taylor v. Caldwell* (1863), replacing the strict rule of *Paradine v. Jane* (1647). In India it rests on s. 56 (*Satyabrata Ghose*, 1954).
- **Operation of law.** Death (personal contracts), insolvency and merger.
- **Lapse of time.** The Limitation Acts bar the remedy.
- **Material alteration.** Unauthorised material change in a written contract discharges it.
- **Breach.** Anticipatory (before due date) or actual. The innocent party may rescind, claim damages, sue on quantum meruit, seek specific performance or an injunction.
- **Damages (ss. 73-75).** Compensatory, special, nominal and exemplary. Rules: actual loss, natural loss, special loss, restitution, costs, mitigation, penalty clause, difficulty of assessment.
- **Liquidated damages and penalty.** English law distinguishes; in India/Bangladesh s. 74 allows reasonable compensation not exceeding the named sum.
- **Quantum meruit.** Reasonable payment for work done; not available to the party in breach or for incomplete lump-sum contracts.
- **Specific performance and injunction.** Discretionary remedies where damages are inadequate; not for personal service.
- **Restitution (ss. 64, 65).** Benefits received under voidable or void contracts must be restored.

Key Terms

Term	Meaning
Discharge / Termination	End of the obligations created by a contract
Tender	An offer to perform a promise; has the effect of performance if refused
Novation	Substitution of a new contract for an existing one, with or without a change of parties
Alteration	Change in one or more terms of a contract by consent

Term	Meaning
Remission	Acceptance of less than what was contracted for (s. 63)
Accord and Satisfaction	English doctrine: promise to accept less (accord) plus actual payment (satisfaction)
Rescission	Cancellation of all or some of the terms of a contract
Waiver	Voluntary abandonment of a right
Merger	Lesser right absorbed into a greater right held by the same person
Void ab initio	Void from the beginning
Supervening impossibility	Impossibility arising after the contract is made (s. 56)
Frustration	Court-recognised end of a contract when the common object can no longer be achieved
Operation of law	Discharge brought about by law (death, insolvency, merger)
Official Assignee / Receiver	Court officer who takes over an insolvent's property
Lapse of time	Expiry of the limitation period
Material alteration	Unauthorised change that significantly affects rights or liabilities
Anticipatory breach	Repudiation before the performance date
Actual breach	Failure or refusal to perform when performance is due
Damages	Money compensation for breach
Nominal damages	Very small sum when little or no loss is proved
Exemplary damages	Damages above actual loss by way of punishment
Liquidated damages	Genuine pre-estimate of loss named in the contract
Penalty	Sum named as a threat rather than a fair estimate
Quantum meruit	‘As much as is merited’: reasonable payment for work done
Specific performance	Court order to perform as promised
Injunction	Court order to refrain from doing something
Restitution	Giving back a benefit received
Mitigation	Duty of the injured party to reduce his loss

Comparison Tables for Quick Revision

Novation vs Alteration

Point	Novation	Alteration
Meaning	New contract substituted for old	Change in one or more terms of the same contract
Parties	May change	Do not change
Original contract	Ends	Continues in changed form
Consent	All parties including the creditor	All parties
Example	Company amalgamation; creditor accepts new debtor	Delivery date moved from 1 April to 15 April

Remission vs Accord and Satisfaction

Point	Remission (s. 63)	Accord and Satisfaction
Law	India / Bangladesh	English law
Consideration	Not required	Required, satisfied by actual payment
When binding	From the promise itself	Only after satisfaction (payment)

Anticipatory Breach vs Actual Breach

Point	Anticipatory breach	Actual breach
Time	Before performance is due	At or during performance
Forms	Repudiation; disabling oneself	Express or implied refusal / failure
Right to sue	Immediately, if repudiation accepted	Immediately
Cases	*Hochster*, *Frost*, *Avery*	*Cort v. Ambergate*

Specific Performance vs Injunction

Point	Specific performance	Injunction
Order	Do what you promised	Do not do something
Used when	Money is inadequate (land, rare goods)	Negative promise is broken or threatened
Not granted for	Personal service; contracts needing supervision	Where damages are adequate
Case	Land sale suits	*Warner Bros. v. Nelson*

Case Law Quick List

Case	Principle
Taylor v. Caldwell (1863)	Destruction of the music hall; contract discharged
Krell v. Henry (1903)	Coronation room hire; failure of foundation
Paradine v. Jane (1647)	Old rule: tenant must pay rent despite loss of land
Davis Contractors v. Fareham (1956)	Higher cost is not frustration
Tsakiroglou v. Noblee Thorl (1962)	Suez closure; alternative route; no frustration
Herne Bay Steamboat v. Hutton (1903)	Only one of two purposes failed; no frustration
Satyabrata Ghose v. Mugneeram (1954)	Frustration under s. 56 in India
Hochster v. De La Tour (1853)	Anticipatory breach; sue before due date
Hadley v. Baxendale (1854)	Remoteness of damages
Dunlop v. New Garage (1915)	Liquidated damages vs penalty
Planche v. Colburn (1831)	Quantum meruit after breach
Cutter v. Powell (1795)	Lump-sum contract; no part payment
Warner Bros. v. Nelson (1937)	Injunction, not specific performance, for personal service
Kapur Chand Godha (1963 SC)	Remission under s. 63

Likely Exam Questions with Model Answers

These questions follow the exercises given at the end of the chapter in your textbook. Each model answer follows the best exam pattern: rule, section, example or case.

Q1. State the circumstances under which a contract is said to be discharged.

A contract is said to be discharged when the obligations created by it come to an end. It may be discharged in the following ways:

- By performance of the promise or tender (ss. 37, 38).
- By mutual consent: novation, alteration, remission, rescission, waiver or merger (ss. 62, 63).
- By subsequent impossibility of performance (s. 56).
- By operation of law: death, insolvency, merger.
- By lapse of time (Limitation Acts).
- By material alteration without the consent of the other party.
- By breach of contract by one party.

Example: Rahim delivers 100 bags of cement and Karim pays; the contract is discharged by performance.

Q2. Discuss the circumstances under which a contract can be terminated by consent of the parties.

Under Section 62, if the parties agree to substitute a new contract, or to rescind or alter the original, the original contract need not be performed. The ways are:

- **Novation:** new contract replaces the old, between same or different parties (*Scarf v. Jardine*).
- **Alteration:** a change in terms with the consent of all parties.
- **Remission (s. 63):** acceptance of less; binding without consideration (*Kapur Chand Godha*).
- **Accord and satisfaction:** English doctrine, not applied in India.
- **Rescission:** cancellation by mutual consent, or by the aggrieved party in a voidable contract (s. 66).
- **Waiver:** abandonment of a right.
- **Merger:** the lesser right is absorbed by the greater, for example a lessee who buys the property.

Example: A owes B Rs. 5,000. B accepts Rs. 2,000 in full satisfaction. The debt is discharged.

Q3. What do you understand by ‘Novation’? What is the difference between Alteration and Novation?

Novation occurs when a new contract is substituted for an existing contract, either between the same parties or between different parties (*Scarf v. Jardine*). It requires the consent of all parties. Example: on amalgamation of two companies into a new one, the creditors of the old companies can enforce their claims against the new company.

Difference: In alteration, the terms change but the parties do not, and the original contract continues in its altered form. In novation, there may be a change of parties, and the old contract is replaced entirely by a new one.

Q4. Discuss the effect of supervening impossibility in the performance of a contract.

Under Section 56, para 2, a contract to do an act which, after the contract is made, becomes impossible or, by reason of some event which the promisor could not prevent, unlawful, becomes void when the act becomes impossible or unlawful. The grounds are:

- Destruction of the subject matter (*Taylor v. Caldwell*).
- Change of law (*Re Shipton, Anderson & Co.*).
- Failure of pre-conditions (*Krell v. Henry*).
- Death or incapacity for personal service (*Robinson v. Davison*).
- Outbreak of war.

The following do **not** excuse: difficulty, commercial impossibility, strikes and riots, and failure of one of several objects.

Effects: the contract becomes void; benefits must be restored (s. 65); and a promisor who knew of the impossibility must compensate the promisee (s. 56, para 3).

Q5. Explain the Law of Frustration of Contract. Give illustrations.

When the common object of a contract can no longer be carried out, the court may declare the contract at an end. In English law, the older rule (*Paradine v. Jane*, 1647) required literal performance, but after *Taylor v. Caldwell* (1863) courts accepted frustration. Theories: implied term, disappearance of foundation, just and reasonable solution, and radical change in the obligation (Lord Radcliffe in *Davis Contractors*). Limits: self-induced frustration is no excuse; the event must defeat the common intention. Effects: the contract is void, future obligations are discharged, relief under the Law Reform (Frustrated Contracts) Act, 1943.

In India and Bangladesh the doctrine is contained in Section 56. In *Satyabrata Ghose v. Mugneeram Bangur* (1954) the Supreme Court held that ‘impossible’ includes impracticable and useless in relation to the object of the contract, though in that case the contract was not frustrated. In *Shanti Vijay & Co.* (1980) an injunction against the sale frustrated the contract.

Illustrations: *Krell v. Henry* (coronation); *Fibrosa v. Fairbairn* (German occupation of Poland).

Q6. Define: Special damages; Exemplary damages; Nominal damages.

- **Special damages:** remote damages allowed because they were within the contemplation of both parties when they made the contract (*Pinnock Bros. v. Lewis & Peat*).
- **Exemplary damages:** damages above the actual loss, by way of punishment; unusual; given in breach of promise of marriage and wrongful dishonour of a trader's cheque (*Addis v. Gramophone Co.*).
- **Nominal damages:** a paltry sum given when the party has suffered little damage or the breach was petty.

Q7. Describe the rules for determination of compensation payable in case of breach of contract.

Under Sections 73-75, the injured party may recover: (1) actual loss; (2) natural and usual loss, not remote loss (*Hadley v. Baxendale*); (3) special damages if foreseen by both parties; (4) restitution and compensation, to place him in the position he would have been in if the contract had been performed; (5) costs; (6) he must minimise the loss (*Jamal v. Moola Dawood*); (7) where a penalty clause exists, reasonable compensation not exceeding the sum named (s. 74); (8) difficulty of assessment is no ground to refuse damages (*Chaplin v. Hicks*).

Q8. Explain ‘Anticipatory breach of contract’. What are the consequences of the breach?

Anticipatory breach occurs when a party repudiates his liability before the performance date, or disables himself from performing. **Consequences:** the aggrieved party may treat the contract as discharged and sue immediately for damages, specific performance or an injunction. The contract is discharged only if he accepts the repudiation. If he does not accept it, the contract continues; and if it is later frustrated, he loses the right to damages (*Avery v. Bowden*). Cases: *Hochster v. De La Tour*; *Frost v. Knight*.

Q9. State the remedies allowed to the aggrieved person in case of breach of contract.

The aggrieved party may claim: (1) rescission, which frees him from his obligations; (2) damages; (3) quantum meruit for part-performance; (4) specific performance; and (5) an injunction. Specific performance and injunction are discretionary and given only where damages are inadequate.

Q10. Explain the terms ‘Penalty’ and ‘Liquidated Damages’ clearly indicating the difference between the two.

Liquidated damages are a genuine pre-estimate of probable loss fixed by the parties. A penalty is a sum fixed by way of threat, not based on a reasonable estimate of loss. In English law the former is enforced at the named sum, while a penalty is invalid and only reasonable damages are awarded. In India and Bangladesh, Section 74 does not recognise the distinction: the court awards reasonable compensation not exceeding the named sum. Exception: bail bonds and public-duty bonds, where the whole sum is payable. Cases: *Dunlop v. New Garage* (liquidated damages); *Ford v. Armstrong* (penalty).

Q11. What is the effect on a contract of (i) strike, lock-out and riots, (ii) material alteration, and (iii) lapse of time?

- **Strikes, lock-outs and riots** do not discharge a contract unless the contract itself provides for it.
- **Material alteration** without the consent of the other party discharges the contract; the document is void from the time of alteration (*Loonkaran Sethia*).
- **Lapse of time** bars the remedy under the Limitation Acts, so the obligation becomes unenforceable in court.

Q12. Write short notes on: Alteration, Remission, Accord and Satisfaction, Rescission, Waiver, Merger, Quantum Meruit.

Use the definitions, sections and examples given in the topic pages: Alteration (change of terms by consent); Remission (s. 63, acceptance of less, no consideration needed); Accord and Satisfaction (English law only); Rescission (cancellation, ss. 62, 66, and Specific Relief Act s. 35); Waiver (abandonment of a right); Merger (lessee buying the property); Quantum meruit (reasonable payment for work done; *Planche v. Colburn*).

Problems with Solutions

Q13. A pays Rs. 10,000 to B in consideration of B's promise to marry C, A's daughter. C dies and the marriage does not take place. Can A claim a refund? Discuss fully.

Answer: Yes. The agreement was discovered to be void because C was dead when the promise was made (or the contract became void when she died). Under Section 65, any person who has received an advantage under such an agreement or contract must restore it or make compensation to the person from whom he received it. B must therefore repay Rs. 10,000 to A (Illustration (a) to Section 65). The rule does not apply to agreements known to be void, but here we assume neither party knew of the impossibility.

Q14. A agreed to let his hall to B for public entertainment on 1 December. On 28 November the hall was destroyed by accidental fire. Discuss the rights of A and B.

Answer: The contract is discharged by supervening impossibility under Section 56, para 2, on the authority of *Taylor v. Caldwell*. The destruction was accidental and without fault of either party. A is not bound to let the hall and B is not bound to take it. Neither can sue the other for damages. Any money paid by B in advance must be returned under Section 65.

Q15. A debtor agreed to pay compound interest on failure to pay simple interest at the due date. Is it liquidated damages or penalty?

Answer: It is a penalty. A stipulation that the debtor will pay increased or compound interest on default is treated as a penalty. Under Section 74, the court will allow only reasonable compensation not exceeding the sum named.

Q16. Objective questions (short answers).

- **Two ways of termination:** performance; mutual agreement (also impossibility, operation of law, lapse of time, material alteration, breach).
- **Two remedies for breach:** damages; specific performance (also rescission, quantum meruit, injunction).
- **Different damages:** compensatory (ordinary), special, nominal (contemptuous), exemplary (punitive).

Good luck with your examination.

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